



Overhang of Sunshine merger over

KIMS posted muted revenue growth due to slowdown in the month of April & May along with drop in EBITDA margin on merger of sunshine from 1st April 2022 which is at 18% EBITDA margin while KIMS ex-sunshine was at 30%+ EBITDA Margin

Key Business Highlights

- Sunshine hospitals which operates with a bed capacity of ~600 beds got merged with KIMS w.e.f 1st April 2022. Sunshine being at lower EBITDA margin of ~18% & KIMS ex-sunshine at 30% EBITDA margin took the company level EBITDA margins to 27.7% on consolidated basis. Management does not expect any further drop in EBITDA margins however expects slight improvement as occupancy gradually picks up. Organic revenue growth at ~2%
- KIMS saw muted revenue growth of 5% (YoY) as there was slowdown in the month of April & May but volumes were back from June month and trajectory to continue for Q2FY23 as well.
- EBITDA margin dropped from 30.5% in Q4FY22 to 27.7% in Q1FY23 mainly on sunshine merger along with increase in employee, doctor and power & fuel cost existing KIMS hospital; Management has guided to maintain 27% EBITDA margins going forward along with slight improvement as ramp up of sunshine continues.
- Depreciation charge increased significantly during the quarter due to Robotic equipment getting capitalised this will have an impact on bottomline which we have factored in our model
- IP Volume @ 39,673 (+22% QoQ ; +25% YoY) majorly on addition of volumes from Sunshine hospital
- OP Volume @ 3,24,797 (+20% QoQ ; +78% YoY)
- ARPOB @ Rs.30,192 in Q1FY23 vs Rs.25,144 in Q4FY22 vs Rs.27,289 in Q1FY22
- ARPP for the quarter stood at Rs.1,25,141 in Q1FY23 vs Rs.1,15,296 in Q4FY22 vs Rs.1,49,132 in Q1FY22; drop in ARPP is due to improvement of ALOS from 4.59 days to 4.14 on QoQ basis
- Company has a healthy Net Cash position of Rs. 1,961 mn, which will be deployed for ongoing/upcoming projects.

Financial Summary

Y/E Mar (Rs mn)	FY20	FY21	FY22	FY23E	FY24E
Net sales	11,226	13,299	16,510	20,375	23,444
EBIDTA	2,450	3,709	5,160	5,625	6,483
Margins	21.8	27.9	31.3	27.6	27.7
PAT (adj)	1,192	2,012	3,329	2,990	3,429
Growth (%)	-	68.7	65.5	(10.2)	14.7
EPS	16.0	25.9	41.6	37.4	42.8
P/E (x)	79.1	48.8	30.4	33.9	29.5
P/B (x)	15.8	11.4	7.3	6.0	5.0
EV/EBITDA (x)	39.4	26.4	19.6	16.6	14.5
RoE (%)	19.9	23.3	24.0	17.7	16.9
ROCE (%)	19.9	27.3	28.6	23.7	22.7

Source: Dalal and Broacha

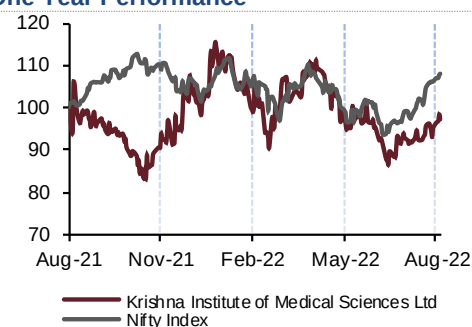
Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1,562	24

Market data

Current price	Rs	1,262
Market Cap (Rs.Bn)	(Rs Bn)	101
Market Cap (US\$ Mn)	(US\$ Mn)	1,269
Face Value	Rs	10
52 Weeks High/Low	Rs	1565 / 1000
Average Daily Volume	('000)	158
BSE Code		543308
Bloomberg		KIMS.IN

Source: Bloomberg

One Year Performance



Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	38.84	38.84
Public	61.16	61.16
Total	100	100

Source: Bloomberg

Key Risk :

- High dependency on healthcare professionals
- High dependency on one facility
- Dependence on top doctors
- Cessation of lease
- Clinical negligence
- Government intervention

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Key Financials Highlights

- Revenue at INR 4,955 Mn, +33% qoq / +5% yoy
- EBITDA (Excl OI) at INR 1,372 Mn, +21% qoq / -5% yoy
- EBITDA margin (Excl OI) at 27.7% vs 30.5% / 30.4% in Q4FY22 / Q1FY22
- PAT at INR 792 Mn, -5% qoq / -14% yoy
- EPS stood at INR 8.7 vs 10.1 / 11.1 in Q4FY22 / Q1FY22

Higher ARPOB on account of Sunshine merger

Sunshine had an ARPOB of Rs.62,706 in Q1FY23 whereas KIMS ex-sunshine usually has an ARPOB of ~Rs.25,000 which on a blended basis increased company level ARPOB to Rs.30,192. Sunshine has orthopedic as major specialty where the ARPOB (Rs.62,706) is higher but average length of stay is lower (~3 days) so on merger blended ARPOB looks higher. Going forward KIMS will start introducing other specialties at Sunshine which will increase the average occupancy from ~40% levels to 65-70% in next 15-18 months. Once can reasonably expect revenue uptick on consolidated basis along with gradual improvement in EBITDA margin from 18% to target 25%. Also as multispecialty picks up at Sunshine Hospitals ALOS will improve from ~3 days to ~4 days increasing overall occupancy as well as revenue.

Quarterly Financials

(Rs.Mn)	Q1FY23A	Q1FY22	YoY Growth (%)	Q4FY22	QoQ Growth (%)
Revenue from Operations	4,955	4,732	5%	3,723	33%
Other Income	53	43	25%	82	-35%
Total RM Cost	1,098	1,123	-2%	751	46%
Employee Benefits Expense	833	725	15%	649	28%
Other Expenses	1,653	1,447	14%	1,188	39%
Total Expenses	3,584	3,295	9%	2,588	38%
EBITDA (Excluding Other Income)	1,372	1,437	-5%	1,136	21%
Depreciation and Amortisation Expenses	294	171	72%	186	58%
EBIT / PBIT	1,131	1,309	-14%	1,031	10%
Finance Costs	57	63	-9%	39	48%
EBT/ PBT	1,074	1,245	-14%	993	8%
Tax Expense	281	325	-14%	235	20%
Net Profit after Tax	792	920	-14%	833	-5%
Earning Per Share	8.7	11.1	-21%	10.1	-13%
Margins (%)					
EBITDA Margins (Excl Other Income)	27.7%	30.4%	-268	30.5%	-282
PAT Margins	14.1%	18.8%	-471	21.7%	-755
As a % to sales					
RM as a % to sales	22.2%	23.7%	-159	20.2%	198
EE Cost as a % to sales	16.8%	15.3%	149	17.4%	-60
Other exps as a % to sales	33.4%	30.6%	278	31.9%	145

Source: Dalal & Broacha Research

Did you know?

In a populous country like India occupancy is not a constraint but affordability is. KIMS is one of the lowest cost healthcare service providers with industry leading margins backed by consistent volumes driven by doctors who own equity in the company.

Key Operating Metrics

Key Operating Metrics							
Particulars	FY18	FY19	FY20	FY21	FY22	FY23E	FY24E
Total Commissioned Beds (in No.s)	2,120	2,804	3,004	3,064	3,064	3,666	4,366
Incremental beds (in No.s)		684	200	60	-	602	700
Total Operational Census Bed Capacity (in No.s)	1,705	2,209	2,434	2,590	2,590	3,222	3,711
Incremental beds (in No.s)		504	225	156	-	632	489
Occupancy (On Operational Census Beds)	N.A.	N.A.	N.A.	78.6%	79.9%	67.0%	63.7%
IP Volume	88,600	1,11,382	1,40,676	1,16,520	1,36,746	1,56,901	1,71,933
OP Volume	6,61,000	9,00,043	11,37,560	8,30,211	10,13,759	12,72,397	15,25,033
ARPOB (in ₹)	18,832	18,344	18,323	20,599	25,206	30,200	31,710
ARPP (in ₹)	84,367	81,998	79,522	1,13,912	1,20,737	1,29,860	1,36,353
ALOS (in days)	4.48	4.47	4.34	5.53	4.79	4.30	4.30
Revenue	6,662	9,239	11,287	13,401	16,713	20,598	23,689
EBITDA	1,394	1,740	2,511	3,709	5,160	5,625	6,483
EBITDA (%)	20.9%	18.8%	22.2%	27.7%	30.9%	27.3%	27.4%

Source: Company, Dalal & Broacha Research

Management Concall KTAs

- 5% Revenue growth was on account of slowdown in the month of April & May but volumes were back from June month and trajectory to continue for Q2FY23 as well
- Drop in EBITDA margin is on account of Sunshine merger which is at ~18% margin vs KIMS which was at ~30%+ EBITDA Margin and also on increased employee, doctor, power & fuel cost at existing KIMS Hospital whereas price hike was not taken in this quarter
- Management had guided to maintain current EBITDA margin of 27% at group level along with slight improvement going forward as revenue ramp up picks up at Sunshine hospitals
- Maintains annual capex guidance of Rs.3,000-3,500 Mn (to be deployed for acquisition at Bangalore & Nashik facility)
- Healthy Net cash position at ~Rs.2,000 Mn (Gross Cash : 3,500 Mn Less Debt : 1,500 Mn) to be deployed for further acquisitions
- Expects upcoming Bangalore & Nashik facility to be operational in next 15-18 months
- Pledge to come down in next 1-2 quarters but full pledge to be released in next 1-2 years
- KIMS base business to be maintained at Q4FY22 levels
- Higher depreciation during the quarter was on account of robot & cathlab getting operational
- No intention of price hike, focus on volumes, raises price only if they see slowdown in growth

Valuation & Outlook

KIMS is on expansion spree. KIMS acquisition of sunshine hospitals (~600 beds) & recent MOU in nashik for 325 beds along with greenfield expansion of ~375 beds in Bangalore is testimonial to its ability to expand & grow. Management plans to add 1800+ beds in next 3-4 years through organic & inorganic acquisition.

We believe KIMS has all the ingredients to become one of India's largest multispecialty hospital chain with superior operating metrics & calibrated growth strategy.

In the near term there might be slight slowdown due to ramping of Sunshine facility, low organic growth & greenfield expansion at Bangalore, however long term prospects of the company continue to remain strong.

We recommend investor to **buy the stock on dips** for a **target price of Rs.1,562** valuing KIMS at 18x EV/EBITDA multiple on FY24E earnings.

Valuation	
Particulars	FY24
KIMS EBITDA (₹ Mn.)	6,483
Target multiple (x)	18
Target EV	1,16,690
Less : Debt	1,947
Add : Cash	9,562
Market Cap (₹ Mn.)	1,24,305
No.of O/s shares (Mn.)	80
Target price	1,553
CMP	1,266
Potential Upside (%)	23%

Recommendation Summary

Date	Rating	Report Type	Reco. Price	Target	Report
16-Mar-22	Buy on Dips	Initiating Coverage	1,330	1,561	Click to download
20-Mar-22	Buy on Dips	Q4FY22 Result Update	1,265	1,562	Click to download
12-Aug-22	Buy on Dips	Q1FY23 Result Update	1,255	1,562	

About the Company:

The company was incorporated as 'Jagjit Singh and Sons Private Limited', on July 26, 1973 at Mumbai. Until the year 2003, the company was owned, managed and controlled by Jagjit Singh and certain of his family members, who together owned the entire shareholding of the company. On February 15, 2003, acting in pursuance of the Takeover MoU, certain of their Promoters, namely Dr. Bhaskara Rao Bollineni and BRMH, along with certain other individuals and entities, acquired the entire equity share capital of the company (then 'Jagjit Singh and Sons Private Limited'). The company offers multidisciplinary healthcare services with primary, secondary, and tertiary care across 2-3 tier cities and an additional quaternary healthcare facility in tier-1 cities.

Dr. Bhaskara Rao Bollineni is the Promoter and Managing Director of the company. He has over 27 years of experience in cardiothoracic surgery and has in the past held various positions with Apollo Hospitals, Austin Hospital, University of Melbourne and Mahavir Hospital and Research Centre.

Anitha Dandamudi is the Whole-time Director of the company. She has over 16 years of experience in the hospital industry, having held various positions with the company, and has also served as vice president of administration at e-Talent Software Ltd.

Dr. Abhinay Bollineni is the Promoter and Executive Director of the company. He played a key role in establishing KIMS Kondapur in 2014.

Key Managerial Personnel:

Vikas Maheshwari is the Chief Financial Officer of the company. He has been associated with the company since May 1, 2017. He has over 24 years of experience in accounting, finance and treasury.

Umashankar Mantha is the Company Secretary and General Manager (Legal) of the company. He has been associated with the company since July 1, 2015. He has over 17 years of experience in the secretarial and legal sectors.

Amazing Fact about KIMS Hospital :

Nearly 300 doctors jointly own 9% equity in the company providing long term revenue visibility because doctors are the main revenue driver in hospital business

Financials

P&L (Rs mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net Sales	11,226	13,299	16,510	20,375	23,444
Raw Material Cost	(2,542)	(2,889)	(3,552)	(4,584)	(5,275)
Employee Cost	(1,980)	(2,202)	(2,619)	(3,333)	(3,975)
Other Expenses	(4,254)	(4,499)	(5,180)	(6,834)	(7,711)
Operating Profit (EBITDA)	2,450	3,709	5,160	5,625	6,483
Depreciation	(706)	(695)	(727)	(1,244)	(1,439)
PBIT	1,744	3,013	4,433	4,380	5,044
Other income	61	102	203	223	245
Interest	(399)	(325)	(160)	(162)	(195)
PBT	1,405	2,790	4,475	4,441	5,095
Share of Profit from JV	-	-	95	-	-
Profit before tax (post exceptional)	1,405	2,790	4,570	4,441	5,095
Provision for tax	(255)	(735)	(1,131)	(1,118)	(1,282)
Reported PAT	1,151	2,055	3,440	3,323	3,812
MI	(42)	43	111	333	383
Net Profit	1,192	2,012	3,329	2,990	3,429
Adjusted Profit (excl Exceptionals)	1,192	2,012	3,329	2,990	3,429

Balance Sheet	FY 20	FY 21	FY 22	FY 23E	FY 24E
Equity capital	745	776	800	800	800
CCPS	-	-	-	-	-
Reserves	5,236	7,861	13,073	16,063	19,492
Net worth	5,981	8,637	13,873	16,863	20,292
MI	125	125	233	4,042	4,426
Non Current Liabilites	3,656	2,816	2,817	2,826	3,135
Current Liabilites	2,188	2,783	2,150	3,031	3,305
TOTAL LIABILITIES	11,950	14,362	19,073	26,762	31,158
Non Current Assets	9,761	9,850	10,633	14,992	19,158
Fixed Assets	8,334	8,555	8,230	10,761	14,927
Goodwill	848	848	848	2,676	2,676
Non Current Investments	-	-	-	-	-
Deferred Tax Asset	14	29	32	32	32
Long Term Loans and Advances	47	164	175	175	175
Other Non Current Assets	517	253	1,348	1,348	1,348
Current Assets	2,190	4,512	8,440	11,770	12,000
Current investments	-	-	-	-	-
Inventories	304	241	364	391	450
Trade Receivables	1,323	1,098	1,286	1,396	1,606
Cash and Bank Balances	449	2,844	1,901	9,601	9,562
Short Term Loans and Advances	18	23	-	-	-
Other Current Assets	97	306	4,889	383	383
TOTAL ASSETS	11,950	14,362	19,073	26,762	31,158

Cash Flow St. (Rs. mn)	FY 20	FY 21	FY 22	FY 23E	FY 24E
Net Profit	1,192.3	2,011.9	3,328.7	2,989.9	3,428.9
Add: Dep. & Amort.	706.1	695.4	726.7	1,244.3	1,438.8
Cash profits	1,898.4	2,707.2	4,055.5	4,234.2	4,867.7
(Inc)/Dec in					
Sundry debtors	(90.0)	224.5	(188.2)	(109.2)	(210.2)
Inventories	(35.2)	62.9	(123.4)	(26.5)	(58.8)
Loans/advances	(9.7)	(121.6)	11.6	-	-
Other Current Assets	290.9	(227.8)	(879.9)	-	-
Current Liab and Provisions	95.9	58.8	(295.1)	226.4	38.2
Sundry Creditors	193.8	84.4	(23.4)	651.5	220.9
Change in working capital	445.7	81.1	(1,498.3)	742.1	(9.9)
CF from Oper. activities	2,344.1	2,788.4	2,557.2	4,976.3	4,857.8
CF from Inv. activities	(1,233.9)	(916.5)	(4,907.7)	(1,097.2)	(5,604.7)
CF from Fin. activities	(634.2)	523.9	953.7	3,820.8	707.8
Cash generated/(utilised)	476.0	2,395.8	(1,396.8)	7,699.9	(39.1)
Cash at start of the year	(27.5)	448.8	2,844.5	1,900.9	9,600.7
Cash at end of the year	448.5	2,844.6	1,447.7	9,600.7	9,561.6

Ratios	FY 20	FY 21	FY 22	FY 23E	FY 24E
OPM	21.8	27.9	31.3	27.6	27.7
NPM	10.56	15.01	19.92	14.52	14.47
Tax rate	(18.1)	(26.4)	(24.7)	(25.2)	(25.2)
Growth Ratios (%)					
Net Sales	22.3	18.5	24.1	23.4	15.1
Operating Profit	202.6	51.4	39.1	9.0	15.3
PBIT	611.7	72.8	47.1	(1.2)	15.2
PAT	(349.4)	68.7	65.5	(10.2)	14.7
Per Share (Rs.)					
Net Earnings (EPS)	16.01	25.93	41.59	37.36	42.85
Cash Earnings (CPS)	25.5	34.9	50.7	52.9	60.8
Dividend	-	-	-	-	-
Book Value	80.3	111.3	173.3	210.7	253.6
Free Cash Flow	22.0	29.3	31.2	15.9	(3.8)
Valuation Ratios					
P/E(x)	79.1	48.8	30.4	33.9	29.5
P/B(x)	15.8	11.4	7.3	6.0	5.0
EV/EBIDTA(x)	39.4	26.4	19.6	16.6	14.5
Div. Yield(%)	-	-	-	-	-
FCF Yield(%)	1.7	2.3	2.5	1.3	(0.3)
Return Ratios (%)					
ROE	20%	23%	24%	18%	17%
ROCE	20%	27%	29%	24%	23%

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